

NATURE: HOW WE INNATELY BEHAVE

Your Financial Phenotype is the approach of understanding how your learned (nurture) and innate (nature) traits and tendencies interact. So far we've looked at nurture (our Money Story and Money Environment)—now it's time to look at nature.

Too often I hear people argue that they're simply not good with money. Or that they're creative, therefore they're not good with numbers. People have even told me they missed out on the 'money gene'!

This led me to question whether there is truth in these statements. Can our genetics predispose us to be good or bad with money? To make reckless spending and investing decisions? To have a spending inclination or a saving inclination? Or conversely, to make smart, consistent financial choices? Is having a good or bad financial disposition really a thing?

Part of the issue for you and me when it comes to nature is that it's assumed we know how our bodies behave because we walk around in them all day. Yet, there is still so much that scientists are discovering. The truth is we're not always wise to our nature or how and why we inherently behave the way we do. This is especially true when it comes to our financial nature.

It may surprise you to know that researchers around the globe are looking to answer these nature versus nurture financial questions. They're seeking to discover how hardwired—how steeped in nature rather than nurture—our money habits are.

According to researcher Hersh Shefrin 'nature plays the same role in financial decision-making as it does in athletic ability'. In his report, 'Born